

HS-HU701 — Principles of Management

Semester VII • 2L:0T:0P • 2 Credits

Module 1 Exam Notes

CGEC | B.Tech ECE (2023–27) | *Biraj Sarkar*

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1. Basic Concepts of Management

Definition of Management

Management is the process of planning, organising, leading, and controlling the efforts of organisational members and using all other organisational resources to achieve stated organisational goals efficiently and effectively.

Efficiency means doing things right (optimal resource utilisation). **Effectiveness** means doing the right things (achieving goals).

1.1 Essence of Management

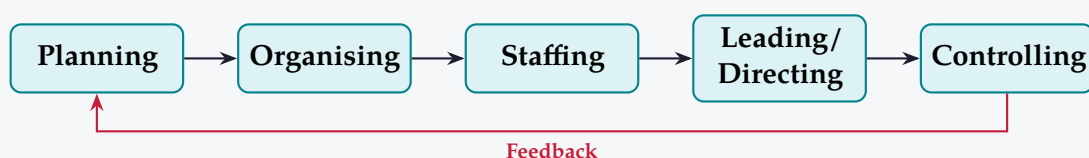
The essence of management revolves around the following core ideas:

- **Goal-Oriented:** Management always aims at achieving specific organisational objectives.
- **Pervasive:** Management is universal — it is required in all organisations (business, government, NGOs) and at all levels.
- **Multidimensional:** Involves managing work (tasks and activities), managing people (individuals and groups), and managing operations (processes and systems).
- **Continuous Process:** Management is an ongoing, never-ending process as long as the organisation exists.
- **Group Activity:** Management involves coordinating the efforts of a group of individuals toward a common goal.
- **Dynamic Function:** Management adapts to the changing internal and external environment of the organisation.
- **Intangible Force:** Management cannot be physically seen but its results (productivity, morale, order) are felt throughout the organisation.

1.2 Functions of Management

The five fundamental functions of management (as identified by Henri Fayol and later developed by others) are:

Five Functions of Management



- **Planning:** Deciding in advance what to do, how to do it, when to do it, and who is to do it. It bridges the gap between where we are and where we want to be.
- **Organising:** Arranging resources and tasks to achieve the plan. Involves grouping activities, assigning duties, and delegating authority.

- **Staffing:** Filling and keeping filled the positions in the organisation structure. Includes recruitment, selection, training, and development.
- **Leading/Directing:** Guiding and supervising subordinates to accomplish organisational goals. Involves communication, motivation, and leadership.
- **Controlling:** Measuring actual performance against planned targets and taking corrective action when necessary.

1.3 Roles of a Manager

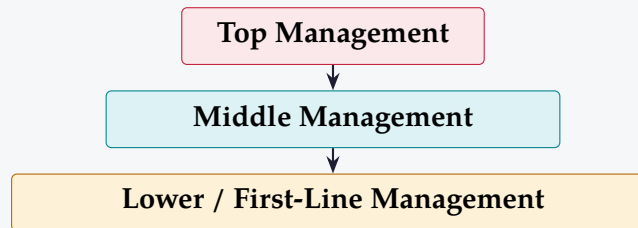
Henry Mintzberg classified managerial roles into three categories based on his research on how managers actually spend their time. He identified **10 specific roles** grouped under Interpersonal, Informational, and Decisional categories. Unlike the classical view that managers only plan, organise, and control, Mintzberg showed that managerial work is varied, fragmented, and action-oriented. These roles are interlinked and a manager plays all of them simultaneously, with the emphasis shifting depending on the level and context.

Category	Role	Description
Interpersonal	Figurehead	Performs ceremonial duties (e.g., signing documents, representing the organisation).
	Leader	Motivates, directs, and coordinates the activities of subordinates.
	Liaison	Maintains networks with outsiders and peers for information and support.
Informational	Monitor	Scans internal and external environment for information.
	Disseminator	Transmits information received from outside to members of the organisation.
	Spokesperson	Transmits information to outsiders on the organisation's plans and policies.
Decisional	Entrepreneur	Initiates change; searches for new opportunities and improvement projects.
	Disturbance Handler	Takes corrective action when the organisation faces unexpected crises.
	Resource Allocator	Decides who gets resources — time, money, equipment, and manpower.
	Negotiator	Represents the organisation in major negotiations with unions, suppliers, etc.

1.4 Levels of Management

Management is typically divided into three hierarchical levels:

Levels of Management — Hierarchy



Level	Examples	Key Activities
Top Management	CEO, MD, Board of Directors	Set overall strategy, goals, and policies; represent company externally.
Middle Management	Dept. Heads, Branch Managers, General Managers	Implement top-level strategies; coordinate lower-level activities.
First-Line Management	Supervisors, Foremen, Team Leaders	Direct and supervise operative employees; handle day-to-day operations.

2. Functions of Management — Planning

Planning — Definition

Planning is the primary management function that involves setting objectives and determining the best course of action to achieve them. It is forward-looking, involves decision-making, and serves as the basis for all other management functions.

2.1 Concept and Nature of Planning

- **Purposeful:** Planning is always directed toward the achievement of specific goals.
- **Primary Function:** Planning precedes all other management functions — organising, staffing, directing, and controlling all depend on planning.
- **Pervasive:** All managers at all levels engage in planning, though the scope and time horizon differ.
- **Future-Oriented:** Planning deals with predicting future conditions and preparing for them.
- **Decision-Making:** Planning involves making a choice among various alternative courses of action.
- **Continuous Process:** Plans are constantly reviewed and revised in response to changing conditions.
- **Mental Exercise:** Planning requires intelligence, foresight, imagination, and sound judgment.

2.2 Types of Plans

Type	Description	Example
Mission/Purpose	Fundamental reason for the organisation's existence.	"Provide affordable, clean energy to all."
Objectives/Goals	Specific, measurable targets to be achieved within a time frame.	Increase sales by 20% in FY 2026.
Strategies	Long-term, broad plans to achieve objectives in a competitive environment.	Market penetration, diversification.
Policies	General guidelines that channel thinking and decision-making.	"All employees must follow the safety code."
Procedures	Step-by-step sequences for handling recurring activities.	Leave application procedure.
Rules	Specific, definite actions or prohibitions with no discretion.	"No smoking in office premises."
Programmes	Complex of goals, policies, procedures, and budgets for a major action.	Employee training programme.
Budgets	A plan expressed in numerical terms (usually money or units).	Annual capital expenditure budget.

2.3 Management by Objectives (MBO)

MBO — Definition

Management by Objectives (MBO), developed by Peter Drucker (1954), is a management philosophy in which superiors and subordinates jointly identify common goals, define each individual's major areas of responsibility in terms of results expected, and use these measures as guides for operating the unit and assessing the contribution of its members.

2.3.1 Process of MBO

- 1. Set Organisational Objectives:** Top management defines long-term strategic goals.
- 2. Cascade Objectives:** Goals are broken down from organisation level to department level to individual level.
- 3. Participate in Goal-Setting:** Managers and subordinates jointly set individual performance objectives.
- 4. Monitor Progress:** Periodic reviews are held to assess progress against objectives.
- 5. Evaluate Performance:** At the end of the period, actual results are compared against objectives.
- 6. Provide Feedback and Rewards:** Employees receive feedback; rewards are linked to objective achievement.

2.3.2 Advantages and Disadvantages of MBO

Advantages	Disadvantages
Clarifies roles and responsibilities.	Time-consuming; requires extensive paperwork.
Improves motivation by involving employees.	Difficult to set verifiable, measurable objectives.
Facilitates performance appraisal.	May focus only on short-term quantitative goals.
Encourages participative management.	Fails if top management is not fully committed.
Improves planning and coordination.	Can create pressure and stress if goals are unrealistic.

3. Organisation Structure

Organisation — Definition

Organisation is the process of identifying and grouping work to be performed, defining and delegating responsibility and authority, and establishing relationships to enable people to work most effectively together in accomplishing objectives.

3.1 Principles of Organisation

- **Principle of Objective:** Every organisational unit and every activity must contribute to organisational objectives.
- **Principle of Unity of Objective:** The structure of the organisation must reflect and support the overall objective.
- **Principle of Division of Labour:** Work must be divided into specialised tasks to improve efficiency.
- **Principle of Authority and Responsibility:** Authority and responsibility must be clearly defined and commensurate with each other.
- **Unity of Command:** Each subordinate should receive orders from only one superior to avoid confusion.
- **Scalar Principle:** There must be a clear line of authority from the top to the bottom of the organisation.
- **Span of Management:** Each superior can effectively supervise only a limited number of subordinates.
- **Exception Principle:** Managers at higher levels should deal only with exceptional (non-routine) matters.

3.2 Centralisation vs. Decentralisation

Aspect	Centralisation	Decentralisation
Definition	Decision-making authority is concentrated at the top level of management.	Decision-making authority is distributed to lower levels of management.
Speed of Decision	Slow — requires top management approval.	Fast — decisions made at operational level.
Uniformity	High uniformity in policies and actions.	Less uniformity; more flexibility.
Motivation	Low — subordinates have little autonomy.	High — subordinates feel empowered.
Suitable for	Small organisations or crisis situations.	Large organisations or multi-location firms.

3.3 Span of Management

Span of Management

Span of Management (also called Span of Control) refers to the number of subordinates a manager can effectively and efficiently supervise and direct. A **narrow span** results in a tall hierarchical structure; a **wide span** results in a flat structure.

Factors affecting Span of Management:

- Ability and competence of the manager and subordinates.
- Nature of the work (routine vs. complex).
- Degree of standardisation and delegation.
- Availability of communication technology and staff assistance.
- Geographic dispersion of subordinates.

3.4 Organisational Effectiveness

Organisational Effectiveness

Organisational Effectiveness is the degree to which an organisation achieves its goals and objectives using the available resources efficiently. It encompasses financial performance, stakeholder satisfaction, internal process quality, and capacity to adapt and learn.

Approaches to measuring Organisational Effectiveness:

1. **Goal Attainment Approach:** Measures the extent to which stated goals are achieved (e.g., profit targets, production quotas).
2. **Systems Resource Approach:** Focuses on the ability to acquire scarce and valued resources from the external environment.

3. **Internal Process Approach:** Evaluates the health of internal operations (e.g., employee morale, communication, conflict resolution).
4. **Strategic Constituencies Approach:** Assesses satisfaction of all key stakeholder groups (owners, employees, customers, suppliers, government).

Quick Revision — Module 1

Basic Concepts, Planning & Organisation | HS-HU701

Key Concepts at a Glance

Management	Planning + Organising + Staffing + Leading + Controlling
Efficiency	Doing things right (minimising waste)
Effectiveness	Doing the right things (achieving goals)
MBO	Joint goal-setting by superiors and subordinates
Unity of Command	One subordinate → one superior
Span of Management	No. of subordinates a manager can effectively supervise
Centralisation	Decision power at top; Decentralisation = power distributed downward

One-Line Definitions

- **Management:** Process of planning, organising, staffing, leading, and controlling to achieve organisational goals.
- **Planning:** Deciding in advance what to do, how, when, and by whom.
- **Organising:** Grouping tasks and assigning responsibilities and authority to achieve the plan.
- **Staffing:** Filling and maintaining positions in the organisational structure.
- **Leading:** Guiding and influencing people to achieve goals (motivation + communication).
- **Controlling:** Comparing actual performance with standards and taking corrective action.
- **MBO:** Management philosophy where managers and subordinates jointly set measurable goals.
- **Scalar Chain:** Clear line of authority from highest to lowest level in an organisation.
- **Organisational Effectiveness:** Degree to which an organisation achieves its goals using available resources.

Frequently Asked / Viva Questions

Q1. Define management. What is the difference between efficiency and effectiveness?

Management is the process of coordinating resources to achieve goals. Efficiency means doing things right with minimum waste; effectiveness means doing the right things to achieve desired outcomes.

Frequently Asked / Viva Questions (contd.)**Q2. List the five functions of management in sequence.**

Planning → Organising → Staffing → Leading/Directing → Controlling.

Q3. What are Henry Mintzberg's three categories of managerial roles?

Interpersonal (Figurehead, Leader, Liaison), Informational (Monitor, Disseminator, Spokesperson), and Decisional (Entrepreneur, Disturbance Handler, Resource Allocator, Negotiator).

Q4. What are the three levels of management? Give one example of each.

Top level (CEO), Middle level (Department Manager), First-line/Lower level (Supervisor or Foreman).

Q5. What is the nature of planning? Why is it considered the primary management function?

Planning is goal-oriented, future-oriented, and involves decision-making. It is primary because all other functions — organising, staffing, leading, and controlling — depend on the plans that are made.

Q6. What is Management by Objectives (MBO)? Who developed it?

MBO, developed by Peter Drucker (1954), is a process where superiors and subordinates jointly identify goals, define areas of responsibility, and use these as guides for performance evaluation.

Q7. What is the principle of Unity of Command?

Each subordinate should receive orders and instructions from only one superior to avoid conflicting directives and confusion.

Q8. Distinguish between centralisation and decentralisation.

Centralisation concentrates decision-making authority at the top management level for uniformity and control. Decentralisation distributes authority to lower levels for faster decisions and greater employee motivation.

Q9. What is Span of Management (Span of Control)? What factors affect it?

It is the number of subordinates a manager can effectively supervise. It is affected by the manager's ability, complexity of work, degree of standardisation, communication technology, and geographic dispersion of staff.

Q10. What is organisational effectiveness? Name two approaches to measure it.

It is the degree to which an organisation achieves its goals efficiently. Two approaches: Goal Attainment Approach (measuring achievement of stated goals) and Strategic Constituencies Approach (measuring stakeholder satisfaction).

Q11. What are the key advantages of MBO?

MBO clarifies roles, improves motivation through participation, facilitates objective performance appraisal, and improves overall planning and coordination.

Frequently Asked / Viva Questions (contd.)**Q12. Differentiate between policies and rules in planning.**

Policies are broad guidelines that channel decision-making (e.g., “Promote from within”); rules are specific mandatory directives with no discretion (e.g., “No smoking on premises”).

Management Levels vs. Skills Required

Level	Conceptual Skills	Human Skills	Technical Skills
Top Management	High	Medium	Low
Middle Management	Medium	High	Medium
First-Line Management	Low	Medium	High